

Apple Inc.
AAPL NASDAQ

Buy \$307.02 ▼ 0.76% 12M Price Target \$340.00 52-Week Range \$205.59 – \$344.57 Market Cap \$4.48T

AAPL: Cook Exit Jitters Meet iPhone Supercycle Setup

WHAT HAPPENED

- Two big storylines colliding: Apple's purchase commitments jumped 28% — that's the money Apple pre-pays suppliers for parts, and it's basically a leading indicator of how many iPhones they're planning to build. BofA reads this as an iPhone ramp, meaning the new model cycle looks strong. Memory chip stocks are rallying on the same news because Apple buys their DRAM/NAND.
- Tim Cook is on his way out. That's the "departing CEO" story — and it's the reason the stock dropped from \$333 last week to \$307 now. Market hates succession uncertainty, even when the fundamentals look great.

WHY IT MATTERS

The 8% drop from the July 30 high isn't about the business — it's about Cook leaving. That's actually a setup, not a problem, because the supplier commitment data is telling you the iPhone cycle is accelerating right into the transition. Options flow backs this up: put/call ratio at 0.57 (meaning 57 puts for every 100 calls — bullish positioning) with massive unusual call buying at the \$310 strike expiring this month. Translation: smart money is betting the CEO drama fades and the fundamentals reassert. Watch for the succession announcement — if it's an internal COO type (predictable), the stock likely reclaims \$325 fast.

POLICY & POLITICAL WATCH

China tariffs are the big overhang — the Trump admin's ongoing trade posture directly hits Apple because roughly 80% of iPhones are still assembled in China despite India diversification. Any escalation this fall could clip margins by 200-400 basis points (basically 2-4% of every revenue dollar disappears). On the flip side, the 9th Circuit browser ruling referenced today extends the App Store legal ambiguity — meaning Apple keeps collecting its 30% App Store cut while the legal framework gets sorted, which is a quiet win. Also watch the Iran deal headlines — a deal calms oil, which calms inflation, which helps consumer discretionary spending on \$1,200 phones.

IS IT EXPENSIVE?

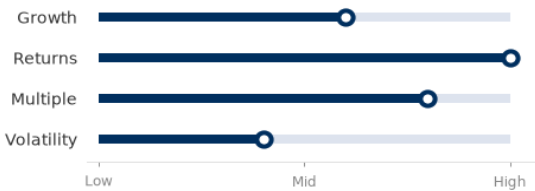
At \$307 and ~39x forward earnings, investors are paying \$39 for every \$1 of profit Apple will make next year. That's expensive versus the S&P at ~22x, but Apple has historically traded at a premium because of its cash generation and buybacks. The question isn't whether it's cheap (it isn't) — it's whether the iPhone ramp + Services growth justifies holding a \$4.5 trillion company at these multiples. Given the supplier data, I think yes, but there's not much margin for error.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$307.02
12M Price Target	\$340.00
Upside / (Downside)	+10.7%
Market Cap	\$4.48T
FY2026E Revenue	\$445M
FY2027E Revenue	\$478M
FY2026E EPS	\$7.85
FY2027E EPS	\$8.90
Fwd P/E	39.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$325.00	\$310.00	\$290.00
6 Months	\$360.00	\$330.00	\$275.00
1 Year	\$390.00	\$340.00	\$260.00
2 Years	\$450.00	\$375.00	\$240.00
5 Years	\$600.00	\$450.00	\$220.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.56%) and Consumer Discretionary (+7% over 5 days) — Materials is the tariff/reshoring beneficiary trade, and Discretionary is signaling the consumer is still spending, which is bullish for iPhone upgrades.

COOLING OFF: Communications Services barely moved (+0.04%) — the Alphabet/Meta cohort is digesting the AI capex concerns, which is Apple-adjacent noise.

ROTATION WATCH: Money is flowing into cyclicals (Materials, Industrials, Discretionary) on Iran deal hopes and record highs — that's a "risk-on" rotation that usually pulls mega-cap tech like AAPL along for the ride, but with a lag.

RELATED PLAY: Memory chip names (Micron, SK Hynix) are the direct beneficiaries of Apple's supplier commitment jump — the Motley Fool piece called this out. If you believe the iPhone ramp story, memory stocks give you leveraged exposure.

WHO'S WINNING IN THIS SPACE?

- MU (Micron): Direct beneficiary of Apple's memory purchase ramp — memory pricing power is returning.
- AVGO (Broadcom): Apple's key RF/wireless chip supplier — same iPhone ramp thesis, higher beta.

AAPL CONTEXT: Apple is lagging its supplier ecosystem right now, which is unusual — normally Apple leads and suppliers follow. That gap tends to close, and historically it closes with Apple catching up rather than suppliers falling. That's a bullish tell.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Fundamentals are quietly strengthening while the stock is being punished for headline noise. That's usually a good setup, but the CEO transition adds real uncertainty I can't hand-wave away.

POSITION SIZE: 5-8% — this is a core holding for most portfolios; the balance sheet and buyback machine give you a floor most stocks don't have.

ENTRY POINTS: \$300-305 range on any macro fear day. If it breaks \$295 on succession news, that's the "back up the truck" level assuming no fundamental damage.

TIME HORIZON: 12-18 months — you're waiting for the iPhone cycle to show up in reported numbers (2-3 quarters out) and for the new CEO to establish credibility.

WHEN TO BAIL: If iPhone unit sales miss by 8%+ next quarter, or if China tariffs escalate to 25%+ on electronics, or if the new CEO is a wildcard the market doesn't trust.

HEDGING: Buy \$290 puts expiring in 3 months as insurance — costs a little, but caps your downside if the CEO announcement lands badly. Or just keep 20% of your intended position in cash and add on dips.